

TO EVERY RULE, THERE ARE EXCEPTIONS... BUT NOT MANY

AN EXPERIMENT WITH MARKET TIMING

REACHING FOR PRICE, FOREGOING OPPORTUNITY

3 The Philosophy Matures

E PLURIBUS UNUM

HISTORY VERSUS OPPORTUNITY

LESSONS FROM THE VINTAGE YEARS

DO FEW THINGS WELL

STAY OR SELL IN ANTICIPATION OF POSSIBLE MARKET DOWNTURNS?

IN AND OUT MAY BE OUT OF THE MONEY

THE LONG SHADOW OF DIVIDENDS

4 Is the Market Efficient?

THE FALLACY OF THE EFFICIENT MARKET

THE RAYCHEM CORPORATION

RAYCHEM, DASHED EXPECTATIONS, AND THE CRASH

RAYCHEM AND THE EFFICIENT MARKET

CONCLUSION

NOTE

Appendix Key Factors in Evaluating Promising Firms

FUNCTIONAL FACTORS

PEOPLE FACTORS

BUSINESS CHARACTERISTICS

NOTE

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